

By Malini Bhupta

The moneybags have returned to Indian stock markets. After selling Indian equities for five consecutive quarters, foreign institutional investors (FIIs) are back to shopping. Punters can celebrate because the investment cycle for global emerging markets, like India, has finally turned positive from this fiscal year compared to last year when global investors were seen selling equities worth \$2.7 billion a month. In the first quarter of fiscal year 2009-10, foreign investors have bought shares worth \$6.4 billion, and \$8.68 billion this year to date. This trend is a clear departure from last year and early this year, when global investors were busy pulling out money from emerging markets, as appetite for risky assets came down dramatically after the financial crisis that hit the world in September 2008.

However, foreign investment in Indian stocks is not a blip. Strong fundamentals, healthy financial markets and strong domestic consumption demand have driven Goldman Sachs to substantially revise India's GDP growth forecast for fiscal year 2011 to 7.8 per cent from 6.6 per cent, due to a much improved in-

The Foreign HAND

Foreign investors are coming in droves yet again as India's GDP outlook looks brighter than expected

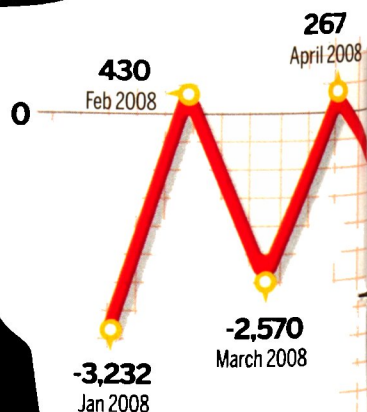


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